

Market Questions Global Economy**How sticky is US inflation?**

Market Questions is the FT's guide to the week ahead



Shoppers in Florida on Black Friday. Although annual inflation remains above the Fed's 2% target, traders are pricing in a roughly 80% chance of a rate cut of 0.25 percentage points at the US central bank's December meeting © Eva Marie Uzcategui/Bloomberg

Rachel Rees and **Emily Herbert** in London and **William Sandlund** in Hong Kong

Published NOV 30 2025

Figures on US inflation for September will finally be published on Friday, just a few days before policymakers at the Federal Reserve take their hotly anticipated December decision on interest rates.

The figures — long delayed by the federal government shutdown — are expected to show the headline price index of personal consumption expenditures rising 0.3 per cent month on month in September, according to a Reuters poll of economists, in line with the rate in August. Year on year, the PCE price index is expected to have risen 2.8 per cent, up slightly from 2.7 per cent in August.

The Reuters poll shows core PCE inflation — the central bank’s preferred measure, as it excludes volatile food and energy prices — holding steady at 0.2 per cent month on month and 2.9 per cent year on year, unchanged from August.

“The Fed will look at it as a definitive December cut confirmation,” said Florian Ielpo, head of macro at Lombard Odier. But, he added, “the stickiness of the print” will be a hint to investors as to how long the Fed will keep [rates](#) unchanged in the first half of 2026, if a quarter-point cut is confirmed on December 10.

Analysts at Barclays expect core PCE inflation to continue “firming” over the next few months due to the upward pressure of tariffs on consumer prices, after “slow progress on disinflation recently”.

Although annual [inflation](#) remains above the Fed’s 2 per cent target, traders are pricing in a roughly 80 per cent chance of a cut of 0.25 percentage points at the December meeting, with another two quarter-point cuts priced in by about the middle of next year, according to levels implied by futures markets. *Rachel Rees*

Could inflation data nudge the ECB from its ‘good place’?

Investors and central bankers seem comfortable that European monetary policy is in a “good place”, as ECB president Christine Lagarde recently put it. Traders are almost unanimous that rates will stay on hold in December, and indeed most expect the ECB’s policy rate to remain at 2 per cent for the next year.

That said, both groups will be watching [Eurozone inflation](#) next week for signs of any wobble. Economists polled by Reuters expect inflation to have remained unchanged at 2.1 per cent year on year in November, close to the central bank’s 2 per cent target.

But minutes from the ECB’s October meeting show that the “two-sided” risks to inflation were a central topic of conversation. According to the minutes, policymakers agreed that “the outlook for inflation continued to be more uncertain than usual on account of the still volatile global trade policy environment”.

For now, though, it seems unlikely that such uncertainty will emerge in the November print. Salomon Fiedler, economist at Berenberg, said the [ECB](#) remained in a “good spot” and that inflation prints deviating just a few tenths of a percentage point around the 2 per cent target would be “within the allowable margin of error”.

“We see no good reason for the ECB to shift its monetary policy stance,” Fiedler said, adding that his conviction was confirmed by the inflation prints of Eurozone countries including Germany, France and Italy, which were published ahead of the wider bloc’s print. *Emily Herbert*

Will Chinese economic data continue to be weak?

Private surveys of Chinese manufacturing and services companies due out this week are expected to show a continued decline in both sectors, as a sharp slowdown in investment weighs on the country’s growth outlook.

The RatingDog manufacturing purchasing managers’ index for November comes first on Monday, with analysts polled by Bloomberg expecting a reading of 50.5, down from 50.6 in October and just above the 50-point mark that separates expansion from contraction in activity from the previous month.

On Wednesday, RatingDog will release its services PMI for November. Bloomberg’s poll forecasts a reading of 51.9, down from 52.6 in October.

The PMIs come on the back of lacklustre [economic](#) data. Fixed-asset investment has plunged since the summer and is now negative for the year to date. In year on year terms, industrial profits and revenues contracted 8.9 per cent and 4 per cent respectively in October.

The falling investment figures in part reflect a drive by the government to reduce overproduction.

“Over the last three months, the contraction in real estate FAI has deepened while the FAI in infrastructure and manufacturing has also started to contract in nominal terms,” Morgan Stanley wrote in a recent note.

The fall in investment could have an impact on Chinese manufacturers, particularly as there are signs that export growth is slowing, with exports declining in year-on-year terms in October.

China's official PMIs, which track more large, state-owned businesses, have been on a downward trend since March.

Given concerns over excess capacity, falling investment into infrastructure and manufacturing may be no bad thing, analysts say. But without a rebound in consumer demand or exports, the trend could have a damping effect on Chinese business activity and the country's prospects of reflation.

William Sandlund

[Copyright](#) The Financial Times Limited 2026. All rights reserved.

Follow the topics in this article

Eurozone inflation

Eurozone economy

Global Economy

Global inflation

US economy